BLACK-SCHOLES

A formula devised for the pricing of financial derivatives or options–made explosive growth possible in them by the early 1970s in the US.

Myron Scholes and Robert Merton were awarded Nobel Prize for Economics for their part in devising this formula–the co-inventor Fischer Black had died (1995) by then.

BOND

An instrument of raising long-term debt on which the bond-issuer pays a periodic interest (known as *'coupon'*). In theory, bonds could be issued by governments as well as private companies.

Bonds generally have a maturity period, however, some bonds might not have any definite maturity period (which are known as *'Perpetual Bonds'*).

Bonds are supported/secured by collateral in the form of immovable property (i.e., fixed assets) while *debentures,* also used to raise long-term debt, are not supported by any collateral.

BOOK BUILDING

This is a public offer of equity shares of a company. In this process, bids are collected from the investors, in a certain price range fixed by the company. The issue price is fixed after the bid closing date depending on the number of bids received at various price levels. A company that is planning an initial public offer (IPO) appoints a merchant banker as a 'book runner'. The company issues a prospectus which does not mention the price, but gives other details about the company with regard to issue size, the business the company is in, promotes and future plans among other disclosures. A particular period is fixed as the bid period. The book runner builds an order book, that is, collates the bids from various investors, which shows the demand for the shares. Prospective investors can revise their bid at any time